Watch list summary

2026-10-28 20:54 CET. Claude's notes updated 2026-10-28.

1. Summary

> **All three watch list stocks are now within about 6% of their entry prices. Boston Scientific is closest (about 2% above $41.5) after a weak Q3 and a fourth outlook cut; Booking is about 3% above $144 before its Nov 3 report; Netflix is about 6% above $58 and still needs a full analysis.**

- **BSX** $42.35: 2% above its entry price of $41.47.
- **BKNG** $148.46: 3% above its entry price of $144.15.
- **NFLX** $61.91: 6% above its entry price of $58.40.

2. The numbers

Stock	Price	Adjusted P/E	10-yr median	Target	Entry price	Entry vs price	Next report
BSX	$42.35	13.3x	25.2x	13x	$41.47	-2.1%	–
BKNG	$148.46	15.4x	21.2x	15x	$144.15	-2.9%	2026-11-03
NFLX	$61.91	21.2x	61.3x	20x	$58.40	-5.7%	2027-01-19

Entry price = target multiple x trailing 12-month adjusted EPS. A negative "entry vs price" means the entry price is below today's price.

3. Analysis

Each stock's verdict and key points follow. The entry prices are proposals until Babak confirms the target multiples (13x BSX, 15x BKNG, 20x NFLX).

Boston Scientific Corporation (BSX)

> **Q3 (Oct 28) missed on earnings and the year's outlook was cut a fourth time: sales grew only 1.5% and are guided to fall in Q4. The stock is cheap (about 13x) and now about 2% above the $41.5 entry, but growth has stalled rather than slowed. View: a small first position only at or below $41.5; wait for the 2027 outlook (late January) before adding.**

- **Cheap:** the lowest valuation in a decade, and cheaper than most medical-device peers.
- **Strong:** the best profitability and cash generation in its peer group.
- **Weak:** little cash against its debt, with more debt coming from the Penumbra deal.
- **Uncertain:** growth has fallen from about 16% to about 4% for 2026, with Q4 sales guided down 1–3%; how much is the cyberattack and how much is lasting share loss is not yet clear.

Booking Holdings Inc. (BKNG)

> **The strongest balance sheet and biggest cash generator in online travel, the cheapest it has been in a decade, sold off on fears that AI agents will bypass it. View: start a position now and add below about $145 (15x adjusted earnings).**

- **Cheap:** about 16x adjusted earnings, against a 10-year norm of about 21x.
- **Strong:** passes every strict debt rule and generates about $9.5bn of free cash flow a year.
- **Weak:** negative shareholders' equity because of buybacks.
- **Uncertain:** room-night growth is slowing, and AI agents and regulators are open risks.

Netflix, Inc. (NFLX)

> **The leading streaming business, now at its lowest valuation in a decade after a run of soft guidance, while adjusted earnings still grow about 15% a year. View: a first look, not a full analysis yet. The proposed entry is 20x adjusted earnings, about $58.**

- **Cheap:** about 22x adjusted earnings, against a 5-year median of about 34x.
- **Strong:** large and growing free cash flow (about $12bn guided for 2026) and modest debt.
- **Weak:** guidance has disappointed three quarters running, and the advertising business is behind plan.
- **Uncertain:** how much of the slowdown is lasting, and what the new content chief and job cuts change.

Each stock's full analysis is in its own PDF from the same run.